

Rithm's \$73M Equity Check Reveals the Real Cost of Office Refinancing

A \$415M CMBS loan for a Midtown tower shows liquidity exists, but only for sponsors willing to write a check.

The most important number in Rithm Capital's \$415 million refinancing of 31 W. 52nd Street is not the loan amount. It is the \$72.5 million equity check Rithm wrote to get the deal done. That equity is not optional. It is the price of liquidity in a market where office debt is available only to sponsors who can absorb basis risk, lease-up exposure, and the cost of time.

Rithm inherited the 29-story Midtown tower when it acquired Paramount Group last December for \$1.6 billion. The building carried a \$500 million loan. The new financing replaces that with \$415 million of senior CMBS debt, \$85 million of mezzanine debt, and \$72.5 million of sponsor equity. The senior loan carries a fixed 6.85% rate and matures in December 2029. A \$42.9 million reserve will cover leasing commissions and capital improvements.

The capital stack tells a clear story. The senior lenders - Wells Fargo, Bank of America, Barclays, Citi, and Goldman Sachs - are willing to lend against a 86.5% leased trophy asset in the Plaza District. But they are not underwriting future rent growth. They are underwriting a sponsor with balance sheet capacity to bridge the gap between current income and the capital needed to retain tenants.

The building's lease roll is the tension. About 41% of leases expire in 2030, representing \$19.2 million of base rent. Two of the largest tenants, law firm Pillsbury Winthrop Shaw Pittman and financial planner Centerview Partners, have extension options. Their decisions will determine whether the building's cash flow supports the new debt or requires further sponsor support. Current tenants pay an average of \$81 per square foot.

Asking rents in the area are roughly \$108 per square foot. That spread suggests upside, but only if the building can attract new tenants at higher rates or negotiate renewals above expiring rents. The \$42.9 million reserve is designed to fund that transition. It is also a signal that the lenders expect leasing costs to be material. This is the second major refinancing for Rithm since the Paramount acquisition.

In April, it secured \$283 million for 1325 Sixth Avenue. Both deals follow the same pattern: senior debt at a fixed rate, mezzanine capital, and sponsor equity. Rithm is not using leverage to extract cash. It is using leverage to buy time. The broader market context matters. Manhattan office leasing hit 22.8 million square feet in the first half of 2026, the strongest first half since 2002.

That demand is concentrated in high-quality assets in core locations. 31 W. 52nd Street fits that profile. But even trophy assets require capital to compete for tenants. The reserve fund and the equity contribution are evidence that the cost of retaining and attracting tenants has become a structural underwriting assumption. Who benefits from this transaction? Rithm gains a five-year maturity runway and a fixed rate that provides certainty.

The CMBS lenders get a well-located asset with a sponsor that has skin in the game. The mezzanine lenders earn a higher yield with a cushion of sponsor equity beneath them. Who is exposed? The CMBS bondholders are taking lease-up risk on a building where nearly half the rent roll turns over in four years. The mezzanine lenders are one bad lease negotiation away from being in control of the asset.

And Rithm is carrying \$72.5 million of equity that earns no current return until the building's cash flow covers the full capital stack. The market should watch the 2030 lease expirations. If Pillsbury and Centerview renew, the building's cash flow will support the debt. If they downsize or leave, the equity will be tested. The reserve fund provides a buffer, but it is finite.

Rithm's willingness to write a \$72.5 million equity check is the real signal. It shows that office liquidity is available, but only to sponsors who can absorb the cost of uncertainty. The market is not rewarding asset quality alone. It is rewarding balance sheet capacity.

About Us

Light Tower Group is a commercial real estate capital advisory firm helping owners, developers, and investors structure and source debt, preferred equity, joint venture equity, and other institutional capital solutions.

We work across acquisitions, refinancings, recapitalizations, and development projects, with a focus on clear strategy, credible execution, and capital that fits the deal.

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